

—Warren Buffett

Note the language that Mr. Buffett uses. He is not talking about sure bets—every investment has a probability of a loss. He fixated on the odds and did not hesitate in placing large bets when the odds were overwhelmingly in his favor. Mr. Buffett generated a three or four bagger return on his American Express investment over three years. Based on the available facts, let's assume the conservative odds of this bet are as follows:

Odds of a 200 percent or greater return in three years	90 percent
Odds of a breakeven return in three years	5 percent
Odds of a loss of up to 10 percent in three years	4 percent
Odds of a total loss on the investment	1 percent

Based on these odds, the Kelly Formula would suggest betting 98.3 percent of the partnership's assets of the fund. Mr. Buffett stayed well within the maximum suggested and placed a few other highly favorable bets with the rest of the assets.

In the light of these logical facts, it is indeed amazing that the average mutual fund has 77 positions. More important, their top 10 holdings represent just 25 percent of assets. Over one-third of mutual funds have greater than 100 positions each. [12](#) It is no wonder that 80 + percent of mutual funds consistently lag the S&P 500 Index. It is also no wonder that fewer than 1 in 200 mutual funds delivers long-term annualized performance that beats the S&P 500 by three percent or more. [13](#)

Dhandho is all about placing few bets, big bets, infrequent bets; and the Kelly Formula supports this hypothesis. This approach works exceedingly well in making passive investments in the stock market. Finally, as Charlie Munger frequently says, "Invert, Always Invert!" As we examine the investing record of those who place many bets, small bets, and frequent